

Subject Description Form

Subject Code	AF3210
Subject Title	Hong Kong Tax Framework
Credit Value	3
Level	3
Normal Duration	1-semester
Pre-requisite / Co-requisite/ Exclusion	Pre-requisite: AF2108 Financial Accounting or equivalent, and AF2504 Introduction to Business Law or AF3513 Business Law
Objectives	This subject aims to impart students with professional knowledge in taxation, enabling them to apply tax law and principles to determine the tax liabilities for individuals and business in Hong Kong.
Intended Learning Outcomes	Upon completion of the subject, students will be able to: - apply tax principles to determine the tax liabilities for individuals, partnerships and corporations in Hong Kong; - effectively interpret tax statutes, analyse practical tax problems and apply tax rules; - evaluate legal arguments in tax cases and present one's own arguments in a reasoned manner; and - formulate and advise on basic tax mitigation arrangements. (BBA Outcome 14)
Subject Synopsis/ Indicative Syllabus	Tax System and Administration in Hong Kong Introduction to Hong Kong tax system and administration. Taxation on Property Scope of charge and computation of property tax in Hong Kong. Taxation on Employment and Office Income Scope of charge and computation of salaries tax in Hong Kong for individuals and married persons. Taxation of Business Income Scope of charge and computation of profits tax in Hong Kong for individuals, partnerships and corporations, including basic source principles and concepts, assessment and deduction rules, depreciation allowance, and loss relief. Taxation on Total Income for Individuals Personal assessment and computation of tax liabilities. Stamp Duty Introduction to scope of charge and computation of stamp duty. Tax Management Introduction to anti-avoidance legislation and tax planning opportunities. Ethics in tax practice.

Teaching/Learning Methodology	The three hours of seminar per week will be used flexibly by the instructor. Lectures will impart students with a fundamental understanding of the principles of taxation and of the current law and practice relating to taxation of individuals, partnerships and corporations in Hong Kong. Tutorial questions will be discussed to reinforce students’ understanding and application of law and principles to practical situations. Students are expected to play an active role to interact with their instructor and classmates.							
Assessment Methods in Alignment with Intended Learning Outcomes	Specific assessment methods/tasks	% weighting	Intended subject learning outcomes to be assessed (Please tick as appropriate)					
			a	b	c	d		
	Continuous Assessment	50%						
	1. Mid-term Test	30%	√	√	√	√		
	2. Pre-class Homework / Quizzes	8%	√	√	√			
	3. Class attendance & participation	12%	√	√	√	√		
	Final Examination	50%	√	√	√	√		
	Total	100 %						
To pass this subject, students are required to obtain Grade D or above in both the Continuous Assessment and Examination components.								
Student Study Effort Expected	Class contact:							
	▪ Seminars				39 Hrs.			
	Other student study effort:							
	▪ Reading and revision				81 Hrs.			
	Total student study effort				120 Hrs.			
Reading List and References	Wong, P. and Wong, J., <i>Taxation in Hong Kong: A Practical Guide</i> , latest edition, Wolters Kluwer Hong Kong Ltd. Ho, P. and Mak, K., <i>Hong Kong Taxation and Tax Planning</i> , latest edition, Pilot Publishing Co Ltd. Leung, E., <i>An Introduction to Hong Kong Taxation</i> , latest edition, LexisNexis Hong Kong. Macpherson, A. and Olesnicky, M., <i>Hong Kong Taxation: Law and Practice</i> , latest edition, The Chinese University Press. <i>Inland Revenue Ordinance (Chapter 112) and Inland Revenue Rules</i> , updated edition and amendments, Hong Kong SAR Government. <i>Stamp Duty Ordinance (Chapter 117)</i> , updated edition and amendments, Hong Kong SAR Government.							